

BUSINESS ETHICS

Ethical Decision Making and Cases

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Chapter 1

The Importance of Business Ethics

Icebreaker

- What does the term “ethics” mean to you?
- Why do you think ethics is important in business?
- Can you think of an example of a time a business engaged in unethical behavior?

1-1

Business Ethics Defined

Business Ethics Defined 1 of 2

- **Morals** – A person's personal philosophies about what is right or wrong
- **Ethics** – Behavior or decisions made within a group's values or morals
 - Right or wrong behavior is defined by the group.
 - Within corporate culture there are rules and regulations that determine right/wrong.
- **Business ethics** – Comprises organizational principles, values, and norms that may originate from individuals, organizational statements, or from the legal system that primarily guide individual and group behavior in business
- **Principles** – Specific and pervasive boundaries for behavior that should not be violated
 - These often become the basis for rules (human rights, freedom of speech).
- **Values** – Enduring beliefs and ideals that are socially enforced

Knowledge Check

Question: What are trust and integrity examples of?

1-2

Why Study Business Ethics?

Why Study Business Ethics? 1 of 4

A Crisis in Business Ethics

- Business ethics has become a major concern.
- **Workplace integrity** – The pressure to compromise organizational standards, observed misconduct, reporting of misconduct when observed, and retaliation against reports

TABLE 1-1 Observed Misconduct in the U.S. Workforce

Response	Percentage
Observed misconduct	49%
Abusive behavior	22%
Lying to employees and external stakeholders	25%
Conflicts of interest	23%
Health violations	22%
Pressure to compromise standards	30%
Report observed misconduct	81%
Experience retaliation for reporting	79%

Why Study Business Ethics? 2 of 4

Specific Issues

- There are a number of ethical issues that must be addressed to prevent misconduct.
- Ethics plays an important role in the public sector as well.
- Every organization has the potential for unethical behavior.
- Most decisions are judged as right or wrong, ethical or unethical.
 - Legislation usually follows.

Why Study Business Ethics? 3 of 4

The Reasons for Studying Business Ethics

- Business ethics is more than an extension of an individual's personal values.
- Professionals must deal with individuals' personal moral dilemmas.
 - **Moral dilemma** – Two or more morals in conflict with one another
 - **Value dilemma** – Two or more beliefs/ideals in conflict with one another
- Being a good person may not be sufficient to handle ethical issues in business.

Why Study Business Ethics? 4 of 4

- Studying business ethics will help you:
 - Identify ethical issues when they arise
 - Recognize approaches for resolving ethical issues
 - Cope with conflicts between your own personal values and those of the organization in which you work
 - Gain knowledge to make more ethical business decisions

Discussion Activity 1

Millennials and Generation Z highly value authenticity and transparency from businesses and have become influential consumer groups, seeking products that align with their values. These generations let business ethics and CSR issues guide not only product purchase decisions but also employer choices.

Do you seek products that align with your values?

Discussion Activity 1 Debrief

- Did everyone in your group say that they seek products that align with their values?
- Why do you think this varies by generation?
- Will you seek (or have you sought) an employer that aligns with your values?

1-4

Developing Organizational and Global Ethical Cultures

Developing Organizational and Global Ethical Cultures 1 of 2

- Ethics and compliance are designed to establish appropriate conduct and core values.
- **Ethical culture** – Acceptable behavior as defined by the company and industry
 - Reflects the integrity of decisions made
 - Is a function of many factors, including:
 - Corporate policies
 - Top management's leadership on ethical issues
 - The influence of coworkers
 - The opportunity for unethical behavior

Developing Organizational and Global Ethical Cultures 2 of 2

- Globally, businesses are working closely together to establish standards of acceptable behavior.
 - ISO 19600 is a global compliance management standard that addresses risks, legal requirements, and stakeholder needs.
- Many companies demonstrate their commitment toward acceptable conduct by adopting globally recognized principles.
- **Global compact** – Set of 10 principles concerning human rights, labor, the environment, and anti-corruption; the purpose is to create openness and alignment among business, government, society, labor, and the United Nations

1-5

The Benefits of Business Ethics

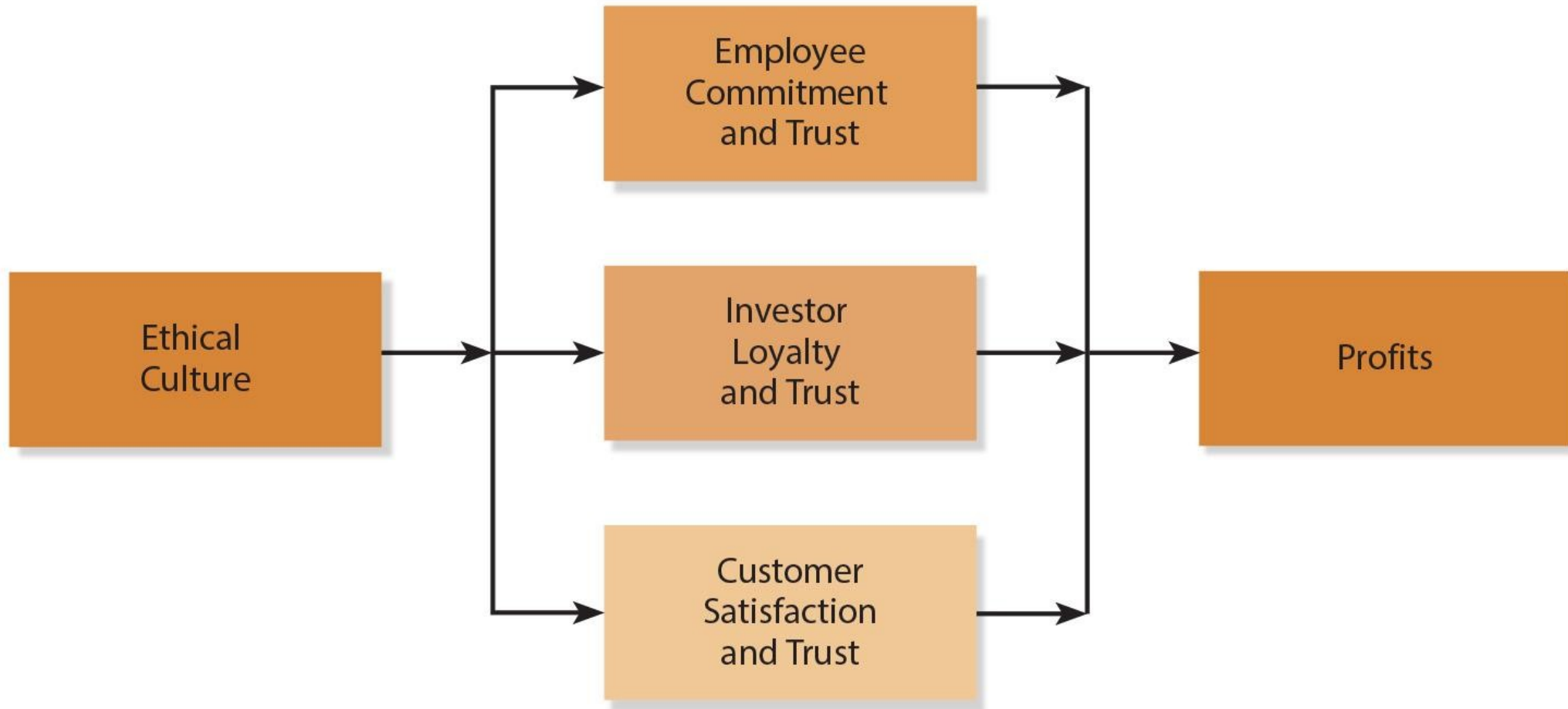
Debate Issue: Take a Stand

- While research suggests ethical businesses have better performance, there is also an alternate view. Many businesspeople think ethics and social responsibility require resources that do not contribute to profits, and time spent in ethics training could be better used for other business activities.
- Take a stand:
 1. Ethical businesses are the most profitable.
 2. The most ethical businesses are not the most profitable.

Debate Issue: Debrief

- Those who argue that ethical businesses are more profitable could point to the different studies showing a positive correlation between ethics and profitability, the goodwill gained from ethical conduct, and the additional customer confidence associated with an ethical company. The opposition might point out that some dishonest companies have gotten away with only small penalties for misconduct and that companies must be more concerned with obtaining profits than spending time worrying about ethics.

FIGURE 1-2 The Role of Organizational Ethics in Performance



The Benefit of Business Ethics 1 of 4

Ethics Contributes to Employee Commitment

- There is a willingness to sacrifice for the organization.
- It increases group creativity and job satisfaction and decreases turnover.
- There is less pressure to compromise ethical standards.
- It leads to a greater absence of misconduct.
- Strong community involvement increases loyalty and positive self identity.

The Benefit of Business Ethics 2 of 4

Ethics Contributes to Investor Loyalty

- Ethics provides a foundation for efficiency, productivity, and profits.
- Negative publicity, lawsuits, and fines can lower stock prices, diminish customer loyalty, and threaten a company's long-term viability.
- The demand for socially responsible investing is increasing.

The Benefit of Business Ethics 3 of 4

Ethics Contributes to Customer Satisfaction

- High levels of perceived corporate misconduct decrease customer trust.
- Companies viewed as socially responsible increase customer trust and satisfaction.
- Consumer respondents stated they would pay more for products from companies that give back to society in a socially responsible and sustainable manner.

The Benefit of Business Ethics 4 of 4

Ethics Contributes to Profits

- Being ethical leads to better business performance.
- Corporate concern for ethical conduct is becoming a part of strategic planning toward obtaining the outcome of higher profitability.
- Business ethics is becoming more than just a function of compliance; it's becoming an integral part of management's efforts to achieve competitive advantage.

Discussion Activity 2

What are the pros and cons of business ethics?

Discussion Activity 2 Debrief

Are the pros and cons you thought of listed below?

Pros

- Ethics contributes to employee commitment.
- Ethics contributes to customer satisfaction.
- Ethics contributes to profits.
- Ethics provides a foundation for efficiency, productivity, and profits.
- Negative publicity results in lawsuits, fines, lower stock prices, diminished customer loyalty.
- The demand for socially responsible investing is increasing.

Cons

- Ethics eats into revenues, sales, profitability.
- Ethics does not maximize shareholder benefits.